

Interview Feedback

Brew & Bean Profitability · 2026-10-05 · Overall: strong

Top improvement

Tighten your opening. Restate the objective (find the root cause of the 18-point decline and reverse it). Lay out 3–4 tailored buckets that include market context: are peers seeing the same squeeze, and do we have pricing power? Then say how the structure leads to the CEO's decision. That way you won't need the interviewer to prompt you to fill gaps.

Rubric Scores

Problem Structuring

adequate

What went well

The candidate opened with a clear hypothesis and prioritized the cost side using the case facts, which focused the case quickly.

“so this is almost certainly a cost story rather than a demand story”

“I'd start on the cost side since that's where the 18 points went.”

The candidate tailored the revenue side to the situation by flagging new-store growth as a mechanical driver of revenue that could hide falling per-store profit.

“Revenue growing 15% could be new store openings rather than same-store growth, which matters a lot”

What needs work

When the interviewer asked whether the structure was MECE, the candidate found real gaps and cleaned up the price/volume/mix overlap without becoming defensive. However, the opening itself was a two-bucket profit = revenue – cost template that left out below-the-line items, competitive context and pricing power until the interviewer prompted.

“I'd structure it as profit = revenue minus costs, and go down both sides.”

“I've left out everything below the line.”

“price, volume, mix overlaps a bit, since mix is a form of price. I'd clean that to revenue per transaction times number of transactions”

The candidate restated the situation but never the objective (find the root cause and reverse it), and never linked the buckets to the decision the CEO has to make.

“Okay. So revenue is actually up 15% but margin collapsed from 24% to 6%”

Missed opportunities

Turn 1, laying out the initial framework before any data was shared.

A great answer: “The goal is to find why margin fell 18 points despite 15% revenue growth, and decide whether the fix is pricing, cost or footprint. I'd look at three areas. First, revenue quality: ticket × transactions, same-store versus new stores. Second, unit costs: COGS by input, labor, overhead. Third, market context: are peers seeing the same squeeze, and have they moved on price? My hypothesis is that input costs rose and weren't passed through, so I'd start with the cost breakdown and then test pricing power.”

Quantitative & Analytical Rigor

strong

What went well

The candidate set up the nested-percentage conversion correctly before computing, turning bean share of COGS into points of revenue.

“Two years ago COGS was 42 points of revenue. Beans at 25% of that is 10.5 points, everything else is 31.5 points.”

Every step was narrated and computed accurately, and the candidate sanity-checked the result by tying it back to the 58% figure.

“Total today: 14.7 plus 43.3 is 58.0. That ties exactly to the 58% you gave me, which is a good sign the numbers are internally consistent.”

The candidate sized the 5% price rise correctly in dollars and margin points (\$480M revenue, ~\$29M profit, +\$24M, ~11–13% margin) and drew the business implication. However, the 5–8% range itself was asserted rather than derived: the candidate never showed what price would restore margin or how much volume loss the increase could absorb.

“200 stores at \$2.4M is \$480M in revenue. At 6% that's about \$29M of profit today.”

“Nothing else on my list moves that fast or that far.”

| *"Take a targeted menu price increase of roughly 5–8% in the next quarter."*

What needs work

The flat-volume assumption was flagged but never stress-tested with a break-even calculation, which was easy to do with the data available.

| *"I've assumed flat, and I'd want elasticity from a pilot in a subset of stores before chain-wide rollout."*

Missed opportunities

Turn 15, sizing the price increase on a flat-volume assumption.

A great answer: "With COGS at 58% as the main variable cost, contribution margin is about 42%. A 5% price rise breaks even if volume falls about 10.6% ($5 / (5 + 42)$), so we have real cushion. Restoring the full 24% margin through price alone would need roughly a 24% increase ($94 / 0.76$), which is unrealistic. So price closes about a third of the gap and procurement has to deliver the rest."

Data & Exhibit Interpretation

strong

What went well

The candidate read the cost breakdown systematically for both years and isolated COGS as 16 of the 18 points.

| *"So the 18-point drop is 16 points of COGS and 2 of overhead. Overhead is noise by comparison — COGS is the case."*

The candidate drew implications beyond the headline: flat labor rules out an operations story, and rising COGS share suggests pricing didn't keep up with input costs. However, the candidate treated that pricing inference as a conclusion and only tested it after the interviewer challenged it.

| *"Labor holding flat at 22% while revenue grew 15% actually suggests they're running stores reasonably efficiently, so this isn't an operations-productivity story."*

| *"I'll take it that menu prices were held roughly flat, since that's the common instinct in specialty coffee"*

The candidate proposed digging inside COGS, then tested whether beans could explain the whole increase and correctly concluded they could not.

| *"Where I want to go next is inside that 58%: beans versus dairy versus packaging and cups versus food items."*

| *"So beans explain 4.2 of the 16 points — about a quarter."*

What needs work

Overhead rising 2 points while revenue grew 15% means overhead dollars grew faster than sales. The candidate dismissed this rather than noting what could cause it, such as new leases or corporate build-out.

| *"Overhead is noise by comparison — COGS is the case."*

Missed opportunities

Turn 5, right after the cost breakdown was shared.

A great answer: "COGS explains 16 of the 18 points, so that's where I'll dig. One open question: is it unit-cost inflation or a failure to pass costs through? I'd like to see menu price history to separate those before I assume anything about pricing."

Business Judgment & Insight

strong

What went well

The candidate named the main risk of the recommendation (volume response) and paired it with a practical mitigation: a store-level pilot before rollout.

| *"Risks: volume response is the real one — I've assumed flat, and I'd want elasticity from a pilot in a subset of stores before chain-wide rollout."*

The candidate showed commercial nuance by separating mix shift from inflation and noting that each needs a different fix.

| *"food items are higher-cost but if food grew as a share of mix, that's a mix shift rather than inflation, which is a different fix."*

The candidate surfaced the hidden assumption in their own math without being asked.

| *"One caveat — this math assumes the quantity of inputs per dollar of revenue held constant, so it's pure price inflation."*

What needs work

The increase is called 'targeted' but the candidate never said where to target it, such as which SKUs or which store types have pricing power.

| *"Take a targeted menu price increase of roughly 5–8% in the next quarter."*

The candidate didn't acknowledge that price recovers only about 5–7 of the 18 points, or size how procurement would close the rest of the gap.

| *"taking margin to about 11%; 8% gets them closer to 13%"*

Missed opportunities

Turn 15, choosing the lead lever.

A great answer: "I'd raise prices most on specialty and milk-based drinks, where demand is least price-sensitive and the input cost hit was biggest. I'd hold price on drip coffee to protect traffic. Price gets us back to about 12%. Renegotiating dairy, packaging and food, which is three-quarters of the COGS increase, is the path to the next 5+ points."

Creativity & Brainstorming

strong

What went well

The candidate signposted a three-bucket mini-structure before brainstorming.

"Let me split it into three buckets: revenue capture, cost structure, and channel/portfolio."

The ideas were varied and included less obvious levers, such as steering the mix toward cheaper-to-make drinks and small reformulations. However, the 'channel/portfolio' bucket held only a single closure idea and nothing on channels despite its label.

"push high-margin ones like drip coffee and espresso, which are cheaper to make than milk-heavy drinks"

"Reformulate where customers won't notice — cup weight, dairy sourcing, portion standardization to cut waste."

"Portfolio. Close or renegotiate underperforming locations, and look at whether the 200 stores are uniformly bad."

The candidate prioritized the buckets and sized the lead lever while brainstorming.

"Revenue capture, which is the biggest untapped lever since prices haven't moved in two years."

Missed opportunities

Turn 13, filling the channel/portfolio bucket.

A great answer: "On channel, I'd look at where they can earn margin without adding store cost. For example, selling packaged beans through grocery, or pushing mobile ordering to lift throughput. On portfolio, they could pilot a lower-cost blend in budget-sensitive locations instead of only closing stores."

Synthesis & Recommendation

strong

What went well

The candidate led with a clear, committed recommendation.

"My recommendation is price. Take a targeted menu price increase of roughly 5–8% in the next quarter."

The candidate gave three supports, each tied to evidence from the case.

"Prices have been frozen two years while inputs rose 37–40%, so they've absorbed the entire shock."

The candidate named the key risk and gave concrete next steps that reuse the earlier finding about non-bean inputs.

"Next steps: pilot pricing across maybe 20 stores for six weeks, and in parallel start supplier negotiations and hedging on the non-bean inputs, since that's where three-quarters of the damage sits."

What needs work

The close trailed off into a half-formed question instead of a crisp final line.

"What about last year — whether any competitor has already moved on price would sharpen the elasticity read."

Missed opportunities

Turn 15, closing the recommendation.

A great answer: "Bottom line: the margin fell because input costs rose about 38% and none of it was passed through. Price plus supplier renegotiation gets us from 6% back into the mid-teens within a year, and the pilot will tell us how far price alone can go."

Communication & Delivery

strong

What went well

The candidate signposted structure before detail throughout, using counts like 'two reasons' and 'three buckets'.

“Within the 58%, I'd go to green coffee beans first. Two reasons.”

“Let me split it into three buckets: revenue capture, cost structure, and channel/portfolio.”

The candidate used hypothesis-driven phrasing that kept the case focused.

“One line is likely doing most of the damage.”

The candidate listened and built on the interviewer's data, restating what it meant before moving on.

“Good — so prices genuinely haven't moved in two years, and the ticket increase is all items-per-visit.”

What needs work

Some phrasing was imprecise or muddled: 'COGS per unit' was used for a share-of-revenue change, and the final sentence was garbled.

“if COGS per unit rose 16 points and nothing was passed through, that's consistent with flat pricing”

“What about last year — whether any competitor has already moved on price would sharpen the elasticity read.”

Pushback, Composure & Case Leadership

strong

What went well

When challenged on the pricing assumption, the candidate acknowledged it specifically and set out a rigorous test that separates price from mix.

“Fair — I flagged it as an assumption and I should test it rather than build on it.”

“So I'd want same-item pricing — what a 12-ounce latte cost two years ago versus today — at a handful of comparable stores.”

The candidate drove the case by asking for specific data at each step. However, competitive context, the most direct test of pricing power, came up only as a trailing afterthought at the very end rather than as a proactive request earlier.

“Do we have ticket by year?”

“So: bean cost per pound, two years ago versus today. And whether they're buying spot or contracted.”

“What about last year — whether any competitor has already moved on price would sharpen the elasticity read.”

The candidate openly updated the bean hypothesis when the data contradicted it, and later carried the 'flag your assumptions' lesson into the final recommendation.

“That reframes the case for me. I came in expecting beans to be the villain because it's the headline commodity”

“I've assumed flat, and I'd want elasticity from a pilot”

Missed opportunities

Turn 7, testing the flat-price assumption after the challenge.

A great answer: “The fastest test is to ask directly: do we have menu price history? I'd also check whether competitors raised prices, because if peers moved and we didn't, that's both the diagnosis and evidence that we have pricing power.”

Model Answer

Structure

Strong structure disaggregates profit = revenue – costs, then breaks revenue into volume × price and costs into COGS / labor / overhead / other. The candidate should hypothesize which bucket is the driver before asking for data. Bonus: asks about competitive context (are peers also seeing this?) and pricing power.

Recommendation

Primary recommendation: raise menu prices, which have not changed in two years while input costs rose about 38% — selectively, by 8–12% on high-margin specialty SKUs where demand is less elastic. Pair it with procurement across all inputs, not just beans: multi-year bean supply contracts plus renegotiated dairy and packaging supply, since beans explain only about a quarter of the COGS increase. Secondary: pilot a lower-cost 'commodity blend' for budget-conscious locations. Do not recommend blanket cost cuts — labor and overhead are already lean.

Full Transcript

Interviewer · 0:00

Your client is Brew & Bean, a specialty coffee chain with 200 locations across the US. Over the past two years, their net profit margin has declined from 24% to 6%, even though revenues have grown 15% over the same period. The CEO has hired us to identify the root cause of this profit decline and recommend how to reverse it. How would you approach this problem?

Take a minute if you need it, then tell me how you'd structure your approach.

Candidate · 1:55

Okay. So revenue is actually up 15% but margin collapsed from 24% to 6% — that's a huge drop, so this is almost certainly a cost story rather than a demand story, though I want to confirm revenue quality too.

I'd structure it as profit = revenue minus costs, and go down both sides.

On revenue: price versus volume versus mix. Revenue growing 15% could be new store openings rather than same-store growth, which matters a lot — if they added locations, revenue grows mechanically while profit per store falls.

On costs: split fixed and variable. Variable would be coffee beans, milk, cups, hourly labor. Fixed would be rent, salaried staff, equipment, corporate overhead, and any new-store buildout costs.

I'd start on the cost side since that's where the 18 points went. The useful thing to begin with is a cost breakdown as a percent of revenue, two years ago versus today.

Interviewer · 1:57

Okay. Hold that request; I'll come back to it shortly. Is that structure MECE, and what, if anything, is missing from it?

Candidate · 3:27

Mostly, but there are gaps. I said net profit margin, and my structure is really an operating-level framework — I've left out everything below the line. Interest expense matters if they financed expansion with debt, plus depreciation on new buildouts, taxes, and any one-time charges like impairments or lease writedowns. With 200 locations and growth, debt service is a real candidate.

The other thing missing is the unit of analysis. I framed it chain-wide, but I should separate store-level P&L from corporate overhead, and within stores, separate mature stores from new ones. A new store can drag margin for a year or two before it matures, and if they've opened a lot recently, blended margin falls even with healthy economics.

On MECE — price, volume, mix overlaps a bit, since mix is a form of price. I'd clean that to revenue per transaction times number of transactions, with mix sitting underneath revenue per transaction.

Interviewer · 3:29

COGS is 58% of revenue today, up from 42% two years ago. Labor is 22% of revenue, and it's been stable. Overhead is 14% of revenue, up slightly from 12%. Okay. That's the cost breakdown you asked for. What do you take from it, and where do you dig next?

Candidate · 4:59

That accounts for essentially the whole thing. Two years ago: 42 plus 22 plus 12 is 76, leaving 24% margin. Today: 58 plus 22 plus 14 is 94, leaving 6%. So the 18-point drop is 16 points of COGS and 2 of overhead. Overhead is noise by comparison — COGS is the case.

A couple of things that follow. Labor holding flat at 22% while revenue grew 15% actually suggests they're running stores reasonably efficiently, so this isn't an operations-productivity story. And COGS as a percent of revenue rising means input costs outran whatever they charge, which points to either unit cost inflation or pricing that didn't move.

I'll take it that menu prices were held roughly flat, since that's the common instinct in specialty coffee — fear of losing traffic.

Where I want to go next is inside that 58%: beans versus dairy versus packaging and cups versus food items. One line is likely doing most of the damage.

Interviewer · 5:00

You said you'd take it that menu prices were held roughly flat. That's an assumption, not something we've established. Hold that request; I'll come back to it shortly. How would you test it?

Candidate · 6:31

Fair — I flagged it as an assumption and I should test it rather than build on it.

Cleanest test is revenue per transaction over the two years. If I have transaction counts and revenue by year, I can back into average ticket. If ticket is flat while revenue grew 15%, growth came from volume or new stores, and prices didn't move. If ticket rose, prices or mix moved, and I'd need to separate those.

Separating them is the harder part. Ticket can rise because they raised prices or because customers traded up to more expensive drinks. So I'd want same-item pricing — what a 12-ounce latte cost two years ago versus today — at a handful of comparable stores. That isolates price from mix.

The other angle is to look at it the opposite direction: if COGS per unit rose 16 points and nothing was passed through, that's consistent with flat pricing. If input costs rose more than 16 and they did pass some through, pricing moved.

Do we have ticket by year?

Interviewer · 6:33

The average transaction is \$6.80, up from \$6.20 two years ago — about a 10% increase, because customers are buying more items per visit. Menu prices have not changed in two years. You also asked about the COGS breakdown earlier. Which of those lines would you look at first, and why?

Candidate · 8:03

Good — so prices genuinely haven't moved in two years, and the ticket increase is all items-per-visit. That actually makes the COGS picture worse than it looks, because more items per visit means more cost per visit too, and none of it is margin they captured through price.

Within the 58%, I'd go to green coffee beans first. Two reasons. It's almost certainly the largest single line in a specialty coffee P&L, and it's an exchange-traded commodity with real volatility — arabica has had major run-ups. A big move there flows straight through with no pricing offset. Dairy is second for the same logic, though a smaller share.

Packaging and food I'd rank below those. Packaging is small as a percent, and food items are higher-cost but if food grew as a share of mix, that's a mix shift rather than inflation, which is a different fix.

So: bean cost per pound, two years ago versus today. And whether they're buying spot or contracted.

Interviewer · 8:05

Raw coffee bean costs are up 40% over the past two years. Coffee beans were 25% of COGS two years ago. Other input costs — dairy, packaging, and food — are up 37.5% over the past two years. I don't have the spot versus contracted split. Using those figures, how much of the 16-point COGS increase do beans explain?

Candidate · 9:35

Let me work it. Two years ago COGS was 42 points of revenue. Beans at 25% of that is 10.5 points, everything else is 31.5 points.

Beans up 40%: 10.5 times 1.4 is 14.7, so an increase of 4.2 points.

Everything else up 37.5%: 31.5 times 1.375 is 43.3, an increase of 11.8 points.

Total today: 14.7 plus 43.3 is 58.0. That ties exactly to the 58% you gave me, which is a good sign the numbers are internally consistent.

So beans explain 4.2 of the 16 points — about a quarter. Dairy, packaging and food together explain roughly 11.8 points, three-quarters of it.

That reframes the case for me. I came in expecting beans to be the villain because it's the headline commodity, but the real story is broad-based input inflation across everything else, and that bucket is three times the size of the bean line to begin with.

One caveat — this math assumes the quantity of inputs per dollar of revenue held constant, so it's pure price inflation. But items per visit went up, which could mean the mix shifted toward lower-margin items too. I'd want to know which of dairy, packaging and food moved most.

Interviewer · 9:37

Okay. Setting the cost drivers aside, beyond what we've discussed, what else could the client do to protect margin going forward? Give me a structured set of ideas.

Candidate · 11:08

Let me split it into three buckets: revenue capture, cost structure, and channel/portfolio.

Revenue capture, which is the biggest untapped lever since prices haven't moved in two years. Take price — even a modest increase. Rough sizing: at 6% margin, a 5% price rise with volume held flat drops almost 5 points straight to the bottom line, getting them to about 11%. Beyond blunt price, there's menu engineering — reprice or reformulate the worst-margin items, push high-margin ones like drip coffee and espresso, which are cheaper to make than milk-heavy drinks. Also loyalty and subscription to lock in frequency, and upselling food where the ticket already shows appetite.

Cost structure. Forward-contract or hedge the commodity exposure rather than buying spot. Consolidate suppliers for volume terms. Reformulate where customers won't notice — cup weight, dairy sourcing, portion standardization to cut waste.

Portfolio. Close or renegotiate underperforming locations, and look at whether the 200 stores are uniformly bad.

Do we have that by location?

Interviewer · 11:11

Average revenue per store is available, so I'll give you that. The cut by location isn't in the information I have. Of everything you've laid out, which one lever would you take first, and what's your recommendation to the CEO? Average revenue per store is \$2.4M a year.

Candidate · 12:41

My recommendation is price. Take a targeted menu price increase of roughly 5–8% in the next quarter.

Sizing it: 200 stores at \$2.4M is \$480M in revenue. At 6% that's about \$29M of profit today. A 5% price rise on flat volume adds roughly \$24M of near-pure flow-through, taking margin to about 11%; 8% gets them closer to 13%. Nothing else on my list moves that fast or that far.

Three supports. Prices have been frozen two years while inputs rose 37–40%, so they've absorbed the entire shock. Ticket is already up 10% on items per visit, which says demand is healthy and customers aren't price-fatigued. And labor holding at 22% means there's no efficiency slack to harvest instead.

Risks: volume response is the real one — I've assumed flat, and I'd want elasticity from a pilot in a subset of stores before chain-wide rollout. Specialty coffee is somewhat insulated, but 8% is not trivial.

Next steps: pilot pricing across maybe 20 stores for six weeks, and in parallel start supplier negotiations and hedging on the non-bean inputs, since that's where three-quarters of the damage sits. What about last year — whether any competitor has already moved on price would sharpen the elasticity read.

Interviewer · 12:43

We'll stop there. Thanks for working through the case — your written report will follow.